

Diploma in International Financial Reporting

Tuesday 11 June 2013

**Time allowed**

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

The Association of Chartered Certified Accountants

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ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in two other entities, Beta and Gamma. The statements of financial position of the three entities at 31 March 2013 were as follows:

	Alpha \$'000	Beta \$'000	Gamma \$'000
ASSETS			
Non-current assets:			
Property, plant and equipment (Note 1)	280,000	225,000	200,000
Investments (Notes 1, 2 and 3)	78,500	40,000	10,000
	<u>358,500</u>	<u>265,000</u>	<u>210,000</u>
Current assets:			
Inventories (Note 4)	85,000	56,000	42,000
Trade receivables (Note 5)	70,000	42,000	38,000
Cash and cash equivalents	14,000	11,000	9,000
	<u>169,000</u>	<u>109,000</u>	<u>89,000</u>
Total assets	<u>527,500</u>	<u>374,000</u>	<u>299,000</u>
EQUITY AND LIABILITIES			
Equity			
Share capital (\$1 shares)	160,000	120,000	100,000
Retained earnings	211,396	115,000	76,000
Other components of equity (Notes 2, 3 and 6)	5,604	4,000	2,000
Total equity	<u>377,000</u>	<u>239,000</u>	<u>178,000</u>
Non-current liabilities:			
Provision (Note 7)	1,500	Nil	Nil
Long-term borrowings (Note 8)	60,000	50,000	60,000
Deferred tax	22,000	25,000	17,000
Total non-current liabilities	<u>83,500</u>	<u>75,000</u>	<u>77,000</u>
Current liabilities:			
Trade and other payables (Note 5)	45,000	40,000	34,000
Short-term borrowings	22,000	20,000	10,000
Total current liabilities	<u>67,000</u>	<u>60,000</u>	<u>44,000</u>
Total equity and liabilities	<u>527,500</u>	<u>374,000</u>	<u>299,000</u>

Note 1 – Alpha's investment in Beta

On 1 April 2012, Alpha acquired 90 million shares in Beta by means of a share exchange. The terms of the business combination were as follows:

- Alpha issued eight shares for every nine shares acquired in Beta. On 1 April 2012, the market value of an Alpha share was \$2.80.
- Alpha will make a further cash payment to the former shareholders of Beta on 30 June 2015. This payment will be based on the adjusted profits of Beta for the three-year period to 31 March 2015. On 1 April 2012, the fair value of this additional payment was estimated at \$25 million. This estimate had increased to \$28 million by 31 March 2013 due to changes in circumstances since the date of acquisition.
- Neither component of the investment in Beta has been recorded in the draft financial statements of Alpha presented above.

It is the group policy to value the non-controlling interest in subsidiaries at the date of acquisition at fair value. The market value of an equity share in Beta at 1 April 2012 can be used for this purpose. On 1 April 2012, the market value of a Beta share was \$2·60.

On 1 April 2012, the individual financial statements of Beta showed the following reserves balances:

- Retained earnings \$86 million.
- Other components of equity \$2·4 million.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 April 2012. The following matters emerged:

- Property having a carrying value of \$140 million (depreciable component \$80 million) had an estimated market value of \$160 million (depreciable component \$92 million). The estimated future economic life of the depreciable component at 1 April 2012 was 16 years and this estimate remains valid.
- Plant and equipment having a carrying value of \$111 million had an estimated market value of \$120 million. The estimated future economic life of the plant and equipment at 1 April 2012 was three years and this estimate remains valid. Beta has not disposed of any of this plant and equipment since 1 April 2012.
- Intangible assets with an estimated market value of \$8 million had not been recognised in the individual financial statements of Beta. The estimated future economic lives of these intangible assets at 1 April 2012 was four years.
- The fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

No impairment of the goodwill on acquisition of Beta has occurred since 1 April 2012.

Note 2 – Alpha’s investment in Gamma

On 1 April 2012, Alpha acquired 40 million shares in Gamma for a cash payment of \$1·85 per share and debited \$74 million to investments in its own statement of financial position. This enabled Alpha to exercise significant influence over Gamma but not to control Gamma. In its own financial statements, Alpha treated the investment in Gamma as a financial asset and made an election to measure it at fair value through other comprehensive income.

On 1 April 2012, the individual financial statements of Gamma showed the following reserves balances:

- Retained earnings \$66 million.
- Other components of equity \$1·2 million.

On 1 April 2012, there were no material differences between the carrying values of the net assets of Gamma in the individual financial statements and the fair values of those net assets.

On 31 March 2013, the fair value of Alpha’s investment in Gamma was estimated at \$78·5 million and this is the balance recorded in Alpha’s individual financial statements. On 31 March 2013, Alpha credited \$4·5 million to other components of equity. No deferred tax was recognised when making this entry.

In the consolidated financial statements you can ignore deferred tax when measuring the investment in Gamma.

Note 3 – Investments by Beta and Gamma

These investments are financial assets that are measured at fair value through other comprehensive income and have been correctly treated by Beta and Gamma. The other components of equity of Beta and Gamma relate entirely to these investments.

Note 4 – Inter-company sale of inventories

The inventories of Beta and Gamma at 31 March 2013 included components produced by Alpha. The selling price of the components included in the inventories of Beta was \$14 million. The selling price of the components included in the inventories of Gamma was \$12 million. Alpha applied a mark-up of one-third of its production cost in arriving at the sales price of these components. You can ignore deferred tax when making any adjustments due to the information in this note.

Note 5 – Trade receivables and payables

The trade receivables of Alpha included \$9 million receivable from Beta and \$7.5 million receivable from Gamma in respect of the purchase of components (see Note 4). The trade payables of Beta and Gamma included equivalent amounts payable to Alpha.

Note 6 – Share based payment

On 1 April 2011, Alpha granted share options to senior executives that are due to vest on 31 March 2014. The maximum number of options that can vest is 10 million. However, there are vesting conditions that are service conditions. Each option allows the holder to purchase a share in Alpha for \$2.50. Further details are as follows:

Date	Share price	Fair value of an option	Number of options expected to vest on 31 March 2014
1 April 2011	\$2.50	36 cents	9 million
31 March 2012	\$2.80	55 cents	9.2 million
31 March 2013	\$3.00	90 cents	9.3 million

On 31 March 2012, the directors of Alpha correctly credited other components of equity and debited profit or loss with \$1,104,000 in respect of these share options. No entries have been made in the financial statements since then in respect of the options.

Ignore any deferred tax implications of the granting of these share options.

Note 7 – Provision

On 1 October 2011, Alpha entered into a 10-year lease of office premises at an annual rental of \$20 million. This lease was correctly classified as an operating lease and the rentals appropriately charged to profit or loss.

On 1 October 2011, Alpha began carrying out alterations to the premises. These alterations were completed on 31 March 2012 at a total cost of \$18 million. Alpha included \$18 million in its property, plant and equipment at 31 March 2012 and charged depreciation in the current year based on a 9½ year useful economic life.

The terms of the lease require Alpha to vacate the premises on 30 September 2021 and leave them in the same condition as they were on 1 October 2011. The directors estimate that this will require restoration expenditure of \$14,250,000 on 30 September 2021. Accordingly, the directors recognised a provision of \$1,500,000 ($\$14,250,000/9.5$) at 31 March 2013. The directors debited \$1,500,000 to profit or loss when recognising this provision.

A relevant discount rate to use in any discounting calculations is 8% per annum. The present value of \$1 payable in 9½ years at this discount rate is 48 cents.

Note 8 – Long-term borrowings

The long-term borrowings of Alpha include \$20 million that was received from a consortium of banks on 1 April 2012. The loan does not carry any interest but \$30.6 million is repayable on 31 March 2017. Alpha incurred incremental costs of \$1 million in arranging the loan which were charged to profit or loss in the year ended 31 March 2013. The effective annual rate of interest applicable to this loan is 10%.

Required:

Prepare the consolidated statement of financial position of Alpha at 31 March 2013.

Note: You should show all workings to the nearest \$'000.

(40 marks)

- 2 Delta is an entity which prepares financial statements to 31 March each year. The functional currency of Delta is the \$. During the year ended 31 March 2013 the following events occurred:
- (a) On 1 April 2012, Delta raised loan finance from European investors. The investors subscribed for 50 million €1 loan notes at par. Delta incurred incremental issue costs of €1 million. Interest of €4 million is payable annually on 31 March, starting on 31 March 2013. The loan is repayable in € on 31 March 2022 at a premium and the effective annual interest rate implicit in the loan is 10%. The appropriate measurement basis for this loan is amortised cost. Relevant exchange rates are as follows:
- 1 April 2012 – €1 = \$1.40.
 - 31 March 2013 – €1 = \$1.45.
 - Average for year ended 31 March 2013 – €1 = \$1.42. (7 marks)
- (b) On 1 April 2012, Delta began joint construction of a pipeline with another investor. Delta and the other investor have signed a contract that provides for joint operation and ownership of the pipeline. All of the ongoing expenditure, comprising maintenance plus borrowing costs, was to be shared equally. The pipeline was completed on 1 October 2012. It was first used on 1 January 2013, at which date its estimated useful economic life was 20 years. The total cash cost of constructing the pipeline was \$40 million. This cost was partly financed by a loan of \$10 million taken out on 1 April 2012. The loan carries interest at an annual rate of 10% with interest payable in arrears on 31 March each year. Between 1 January 2013 and 31 March 2013, it was necessary to spend \$400,000 on maintenance costs. (7 marks)
- (c) On 1 April 2012, the directors of Delta formed a new company, Epsilon. The directors of Delta own all the voting shares in Epsilon. In exercising their votes, the directors of Delta have agreed to act in Delta's best interests. Epsilon leased an asset from a financial institution and correctly classified this lease as a finance lease. Epsilon immediately leased the asset to Delta on a one year lease. The rentals payable by Delta to Epsilon were set at the same amount as the rentals payable by Epsilon to the financial institution. The terms of the lease from Epsilon to Delta gave Delta the option to extend the lease under exactly the same terms. This extension option will continue to be available on an annual basis until the lease between Epsilon and the financial institution expires. The asset is a vital one in Delta's production process. Epsilon does not undertake any other transactions. (6 marks)

Required:

Explain and show (where possible by quantifying amounts) how the three events would be reported in the financial statements of Delta for the year ended 31 March 2013.

Note: The mark allocation is shown against each of the three events above.

(20 marks)

- 3 (a) Revenue is often the largest single amount in the financial statements of a company and therefore it is very important to establish appropriate criteria for its recognition and measurement. IAS 18 – *Revenue* – was issued to establish such criteria.

Required:

- (i) State the meaning of the term 'revenue' as it is used in IAS 18 and describe the requirements of IAS 18 for the measurement of revenue;
- (ii) Summarise the criteria that need to be satisfied before revenue from the sale of goods can be recognised and identify any additional criteria that need to be satisfied in order to recognise revenue from the rendering of services.

Note: The total marks will be split equally between each part.

(6 marks)

- (b) Kappa prepares financial statements to 31 March each year. During the year ended 31 March 2013, Kappa entered into the following transactions:

- (i) On 1 January 2013, Kappa supplied goods on credit to a customer. The goods had a list price of \$450,000. Due to the size of the order, the customer received a volume discount of \$50,000 and the invoice to the customer showed an amount payable of \$400,000. The terms of sale allowed the customer a prompt payment discount of \$20,000 provided payment was made before 31 January 2013. On 30 January 2013, the customer paid \$380,000 in full and final settlement of the amount payable. (2 marks)
- (ii) On 31 March 2013, Kappa supplied two machines to a customer. Both machines were accepted by the customer on 31 March 2013. Machine 1 was a machine that was routinely supplied by Kappa to many customers and the installation process was very simple. Machine 1 was installed on 2 April 2013 by employees of the customer. Machine 2 was more specialised and the installation process more complicated, requiring significant assistance from Kappa. Machine 2 was installed between 2 and 5 April 2013. Details of costs and sales prices are as follows:

	Machine 1	Machine 2	
	\$'000	\$'000	
Sales price	320	300	
Cost of production	160	150	
Cost of installation (to Kappa)	Nil	10	(4 marks)

- (iii) On 30 September 2012, Kappa sold a property to a bank for \$2 million. The carrying amount of the property at the date of sale was \$1.5 million and its market value was \$3.5 million. Property prices are expected to rise at an annual rate of 5% for the foreseeable future. Kappa continued to occupy this property but paid no rent to the new owners. Kappa has the option to repurchase the property on 30 September 2017 for \$3.221 million. Kappa's credit rating is such that financial institutions would require an annual interest rate of 10% on loan finance to Kappa. (4 marks)
- (iv) On 30 September 2012, Kappa delivered a machine to a customer that had been manufactured to that customer's requirements. The machine cost Kappa \$600,000 to manufacture and the agreed selling price was \$1,007,557. Kappa agreed to accept payment on 30 September 2015. Kappa would expect an annual rate of return of 8% on loan investments. The present value of \$1 receivable in three years' time at an annual discount rate of 8% is approximately 79.4 cents. (4 marks)

Required:

Explain and show how the four transactions would be reported in the financial statements of Kappa for the year ended 31 March 2013 and (for transaction (ii) ONLY) the year ended 31 March 2014.

Note: The mark allocation is shown against each of the four transactions above.

(20 marks)

- 4** You are the financial controller of Omega, a listed company which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). Your managing director, who is not an accountant, has recently attended a seminar and has prepared a number of questions for you concerning two issues raised at the seminar:
- (a)** 'I was confused regarding a number of references to fair value and a new accounting standard on the subject. I thought financial statements were prepared on a historical cost basis. Please give me three examples of where fair value might be relevant for us. I was told the new standard removed an inconsistency in the definition of fair value and applied three levels of input into the measurement of fair value. Please explain how the new standard defines fair value and what the previous inconsistency was. Please also explain each level of input and how each level is applied in measuring the fair value of a particular item in the financial statements.' (10 marks)
- (b)** 'One of the topics discussed at the seminar was segment reporting. I believe I heard someone say that segment reporting varies from company to company depending on its internal structure. Please explain how we should identify the segments we use to provide our segment reporting information. I do not need to know the detailed content of a segment report.' (10 marks)

Required:

Provide answers to the questions raised by the managing director.

Note: The mark allocation is shown against each of the two issues above.

(20 marks)

End of Question Paper

Answers

Marks

1 Consolidated statement of financial position of Alpha at 31 March 2013

ASSETS

\$'000

Non-current assets:

Property, plant and equipment (280,000 + 225,000 + 19,250 (W1) + 6,000 (W1) + 6,120 (W7))

536,370 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Intangible assets (W1)

6,000 $\frac{1}{2}$

Goodwill (W2)

89,000 $6\frac{1}{2}$ (W2)

Investment in Gamma (W9)

77,120 2 (W9)

Other investments

40,000 $\frac{1}{2}$

748,490

Current assets:

Inventories (85,000 + 56,000 – 3,500 (W4))

137,500 $\frac{1}{2} + \frac{1}{2}$

Trade receivables (70,000 + 42,000 – 9,000 (intra-group) – nil (associate))

103,000 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Cash and cash equivalents (14,000 + 11,000)

25,000 $\frac{1}{2}$

265,500

Total assets

1,013,990

EQUITY AND LIABILITIES

Equity attributable to equity holders of the parent

Share capital (160,000 + 80,000 (shares issued to acquire Beta))

240,000 1

Retained earnings (W4)

224,201 15 (W4)

Other components of equity (W5)

147,752 $4\frac{1}{2}$ (W5)

611,953

Non-controlling interest (W3)

84,500 1 (W3)

Total equity

696,453

Non-current liabilities:

Contingent consideration

28,000 $\frac{1}{2}$

Provisions (W7)

7,387 $\frac{1}{2}$

Long-term borrowings (60,000 + 50,000 + 900 (W8))

110,900 $\frac{1}{2} + \frac{1}{2}$

Deferred tax (22,000 + 25,000 + 6,250 (W10))

53,250 $\frac{1}{2} + \frac{1}{2}$

199,537

Total non-current liabilities

Current liabilities:

Trade and other payables (45,000 + 40,000 – 9,000 (intra-group) – nil (associate))

76,000 $\frac{1}{2}$

Short-term borrowings (22,000 + 20,000)

42,000 $\frac{1}{2}$

Total current liabilities

118,000 **40**

Total equity and liabilities

1,013,990

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED
Working 1 – Net assets table – Beta

	1 April 2012 \$'000	31 March 2013 \$'000	For W2	For W4
Share capital	120,000	120,000	½	
Other components of equity	2,400	4,000	½	½
Retained earnings:				
Per accounts of Beta	86,000	115,000	½	½
Property adjustment	20,000	20,000	½	
Extra depreciation ((92,000 – 80,000)/16)		(750)		½
Plant and equipment adjustment	9,000	9,000	½	
Extra depreciation ((120,000 – 111,000)/3)		(3,000)		½
Intangible asset adjustment	8,000	8,000	½	
Extra amortisation (8,000/4)		(2,000)		½
Deferred tax on fair value adjustments	(7,400)	(6,250)	1 (W10)	1 (W10)
Net assets for the consolidation	<u>238,000</u>	<u>264,000</u>		

The post-acquisition increase in net assets is 26,000 (264,000 – 238,000). 1,600 of this increase relates to other components of equity and the balance (24,400) relates to retained earnings.

	1
<u>4</u>	<u>4½</u>
⇒W2	⇒W4

Working 2 – Goodwill on consolidation (Beta)

	\$'000	
Cost of investment:		
Share exchange (90 million x 8/9 x \$2·80)	224,000	1
Contingent consideration	25,000	½
Fair value of non-controlling interest at date of acquisition (30 million x \$2·60)	<u>78,000</u>	1
	327,000	
Net assets at 1 April 2012 (W1)	<u>(238,000)</u>	4 (W1)
Goodwill	<u>89,000</u>	<u>6½</u>

Working 3 – Non-controlling interest in Beta

	\$'000	
Fair value at date of acquisition (W2)	78,000	½
25% of post-acquisition increase in net assets (26,000 (W1))	<u>6,500</u>	½
	<u>84,500</u>	<u>1</u>

Working 4 – Retained earnings

	\$'000	
Alpha	211,396	½
Adjustment to fair value of contingent consideration (28,000 – 25,000)	(3,000)	½
Adjustment for share based payment (W6)	(1,128)	1½ (W6)
Adjustment for provision (W7)	233	3½ (W7)
Adjustment for carrying value of loan (W8)	(900)	1½ (W8)
Beta (75% x 24,400 (W1))	18,300	½ + 4½ (W1)
Gamma (40% x (76,000 – 66,000))	4,000	½
Unrealised profits on sales to Beta (14,000 x 1/4)	(3,500)	1
Unrealised profits on sales to Gamma (12,000 x 1/4 x 40%)	<u>(1,200)</u>	<u>1</u>
	<u>224,201</u>	<u>15</u>

Working 5 – Other components of equity

	\$'000	
Alpha	5,604	1/2
Premium on issue of shares to acquire Beta (80 million x \$1.80)	144,000	1
Reversal re: investment in Gamma	(4,500)	1
Adjustment re: share based payment (W6)	1,128	1/2
Beta (75% x 1,600 (W1))	1,200	1
Gamma (40% (2,000 – 1,200))	320	1/2
	<u>147,752</u>	<u>4 1/2</u>

Working 6 – Share based payment

	\$'000	
Expected total cost (9.3 million x \$0.36)	3,348	1/2
Cumulative cost recognised to 31 March 2013 (2/3)	2,232	1/2
Cumulative cost recognised in previous periods	(1,104)	1/2
So necessary adjustment equals	<u>1,128</u>	<u>1 1/2</u>

⇒W4

Working 7 – Provision adjustments

	\$'000	
Provision required at 31 March 2012 (14,250 x 0.48)	6,840	1/2
Unwinding of discount (6,840 x 8%)	547	1
So provision required at 31 March 2013	<u>7,387</u>	
Amount included in PPE on 31 March 2012	6,840	1/2
Depreciation to 31 March 2013 (1/9.5)	(720)	1/2
So added to PPE at 31 March 2013	<u>6,120</u>	
Amount chargeable to profit or loss (547 + 720)	1,267	1/2
Amount charged in financial statements	(1,500)	1/2
So necessary adjustment equals	<u>(233)</u>	<u>3 1/2</u>

⇒W4

Working 8 – Loan adjustment

	\$'000	
Initial carrying amount (20,000 – 1,000)	19,000	1/2
Finance cost (10%)	1,900	1/2
	<u>20,900</u>	
Included in draft financial statements	(20,000)	1/2
So adjustment equals	<u>900</u>	<u>1 1/2</u>

⇒W4

Working 9 – Investment in Gamma – equity accounting

	\$'000	
Cost	74,000	1/2
Share of post-acquisition change in net assets:		
Retained earnings (W4)	4,000	1/2
Other components of equity (W5)	320	1/2
Unrealised profit (W4)	(1,200)	1/2
	<u>77,120</u>	<u>2</u>

Working 10 – Deferred tax on fair value adjustments:

Fair value adjustments:

	1 April 2012 \$'000	31 March 2013 \$'000	
Property adjustment	20,000	19,250	1/2
Plant and equipment adjustment	9,000	6,000	1/2
Intangible asset adjustment	8,000	6,000	1/2
Net taxable temporary differences	37,000	31,250	
Related deferred tax (20%)	7,400	6,250	1/2
			<u>2</u>
			⇒W1

- 2 (a) The initial measurement of the loan in € is €49 million (€50 million – €1 million). 1/2
- The finance cost in € is €4.9 million (€49 million x 10%). 1/2
- The closing balance of the loan in € is €49.9 million (€49 million + €4.9 million – €4 million). 1/2
- IAS 21 – *The Effect of Changes in Foreign Exchange Rates* – states that foreign currency transactions are initially recorded at the rate of exchange in force when the transaction was first recognised. 1/2
- Therefore the loan would initially be recorded at \$68.6 million (€49 million x 1.40). 1/2
- The finance cost would be recorded at an average rate for the period since it accrues over a period of time. 1/2
- The finance cost would be \$6.958 million (€4.9 million x 1.42). 1/2
- The actual payment of interest would be recorded at \$5.8 million (€4 million x 1.45). 1/2
- The loan balance is a monetary item so it is translated at the rate of exchange at the reporting date. 1/2
- So the closing loan balance is \$72.355 million (€49.9 million x 1.45). 1/2
- The exchange differences that are created by this treatment are recognised in profit or loss. 1/2
- In this case, the exchange difference is ((€68.6 million + €6.958 million – €5.8 million) – \$72.355 million) = \$2.597 million. 1
- This exchange loss is taken to profit or loss. 1/2
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- 7
- (b) As provided in IFRS 11 – *Joint Arrangements* – this is a joint arrangement because two or more parties have joint control of the pipeline under a contractual arrangement. 1
- The arrangement will be regarded as a joint operation because Delta and the other investor have rights to the assets and obligations for the liabilities of this joint arrangement. 1
- This means that Delta and the other investor will each recognise 50% of the cost of constructing the asset in property, plant and equipment. 1/2
- The borrowing cost incurred on constructing the pipeline should, under the principles of IAS 23 – *Borrowing Costs* –, be included as part of the cost of the asset for the period of construction. 1/2
- In this case, the relevant borrowing cost to be included is \$500,000 (\$10 million x 10% x 6/12). 1
- The total cost of the asset is \$40.5 million (\$40 million + \$500,000). \$20.25 million is included in the property, plant and equipment of Delta and the same amount in the property, plant and equipment of the other investor. 1
- The depreciation charge for the year ended 31 March 2013 will therefore be \$1,012,500 (\$40.5 million x 1/20 x 6/12). \$506,250 will be charged in the statement of profit or loss of Delta and the same amount in the statement of profit or loss of the other investor. 1
- The other costs relating to the arrangement in the current year totalling \$900,000 (finance cost for the second half year of \$500,000 plus maintenance costs of \$400,000) will be charged to the statements of profit or loss of Delta and the other investor in equal proportions – \$450,000 each. 1
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- 7

		Marks
(c)	Under the principles of IFRS 10 – <i>Consolidated Financial Statements</i> – Delta has control over Epsilon. This is because:	1
	The purpose of setting up Epsilon is to enable Delta to achieve a specific purpose.	1/2
	Epsilon's dependence on Delta indicates that Delta has effective power over Epsilon.	1
	The directors of Delta are acting as <i>de facto</i> agents of Delta in terms of their shareholdings in Epsilon.	1/2
	Delta is exposed to variable returns (on the leased asset) which Delta has the power to affect through its use.	1
	Therefore Delta will consolidate Epsilon and the leased asset and associated liability will be included in the consolidated financial statements as a finance lease.	1
	The rental payments between Delta and Epsilon will be eliminated as an intra-group transaction.	1
		<u>6</u>
		<u>20</u>
3	(a) (i) Revenue is the gross inflow of economic benefits during a period arising in the course of the ordinary activities of a company. Revenue does not include recoverable sales taxes .	1/2 + 1/2 + 1/2
	Revenue is measured at the fair value of the consideration receivable. Fair value takes account of the time value of money and any trade or volume discounts associated with the transaction.	1/2 + 1/2 + 1/2
	(ii) Revenue from the sale of goods can be recognised when:	
	The company has transferred the significant risks and rewards of ownership of the goods to the buyer.	1/2
	The entity has transferred control of the goods to the buyer.	1/2
	The amount of revenue can be measured reliably.	1/2
	It is probable that associated economic benefits will flow to the company.	1/2
	The related costs can be measured reliably.	1/2
	As far as the rendering of services is concerned, an additional condition is that the stage of completion of the service at the end of the reporting period can be measured reliably.	1/2
		<u>6</u>
	(b) (i) \$400,000 is recognised as revenue. IAS 18 states that revenue is reduced to the extent that volume discounts are given.	1
	The prompt payment discount of \$20,000 would not reduce revenue but would be recognised either as part of cost of sales or as a financing expense.	1
		<u>2</u>
	(ii) Because the installation process is simple, revenue from Machine 1 will be recognised on 31 March 2013.	1/2
	Therefore, for Machine 1, \$320,000 will be recognised as revenue and \$160,000 as cost of sales.	1
	Revenue from Machine 2 will not be recognised until 5 April, the date the installation is complete. Until that date, Kappa has not transferred the risks and rewards of ownership.	1/2
	Therefore no revenue or cost of sales will be recognised on Machine 2 in the year ended 31 March 2013.	1
	The cost of producing Machine 2 (\$150,000) will be recognised in inventory at 31 March 2013 and the installation cost (\$10,000) will be recognised as part of cost of sales when the revenue is recognised on 5 April 2013 – within the year ended 31 March 2014.	1
		<u>4</u>
	(iii) No revenue would be recognised on the sale of the property as the risks and rewards of ownership have been retained by Kappa. This is so because the option to re-purchase is almost certain to be exercised, due to the transfer at substantially below market value and the expectation of a rise in property prices.	1

	Marks
This transaction will therefore be regarded as a secured loan.	½
The property will remain in the statement of financial position of Kappa.	½
The finance cost for the year ended 31 March 2013 will be \$100,000 (\$2 million x 10% x 6/12). This will be shown in the statement of profit or loss.	1
The closing borrowing will be \$2.1 million (\$2 million + \$100,000). This will be shown as a non-current liability.	1
	4
(iv) Kappa would recognise revenue on 30 September 2012 because the risks and rewards of ownership have been transferred and Kappa has no continuing managerial involvement with the machine.	½
The amount recognised should be the fair value of the consideration receivable which, under the principles of IFRS 13 – <i>Fair Value Measurement</i> –, involves discounting the consideration to present value.	½
The amount of revenue recognised is \$800,000 (\$1,007,557 x 0.794).	½
Kappa would recognise \$600,000 in cost of sales.	½
Kappa would recognise finance income of \$32,000 (\$800,000 x 8% x 6/12). This will be shown in the statement of profit or loss.	1
Kappa would recognise a closing receivable of \$832,000 (\$800,000 + \$32,000). This will be shown as a non-current asset.	1
	4
	20
4 (a) Although it is true that the majority of assets and liabilities that are recognised in financial statements are measured based on their original cost, there are a number that are measured at fair value. Three examples of the use of the 'fair value basis' are:	
The assets and liabilities of a newly acquired subsidiary are measured in the consolidated financial statements at their fair values at the date of acquisition.	1
Many financial instruments are measured at fair value.	1
Property, plant and equipment can be measured at fair value on a class by class basis.	1
(Tutorial note: Other valid examples – e.g. investment properties or biological assets – would also receive credit.)	
IFRS 13 – <i>Fair Value Measurement</i> – defines fair value as the amount that would be received to sell an asset , or paid to transfer a liability , in an orderly transaction between market participants .	½ + ½ + ½ + ½
The IFRS 13 definition removes the uncertainty that was previously an issue in that it confirms that fair value is an exit measure, not an entry measure.	½
The fair value hierarchy refers to three levels of input into the measurement of fair value. These three levels vary in their reliability, starting with the most reliable and ending with the least reliable:	
Level 1 inputs are market prices where the asset or liability is quoted in an active market. These inputs are given the highest priority when measuring fair values and are not normally subject to any adjustment. An example would be the use of quoted prices to measure the fair value of equity instruments.	1½
Level 2 inputs are inputs into the calculation of fair value that, whilst not market values, are observable to an external user. An example would be the quoted prices of shares in similar entities when measuring the fair value of an unquoted share. Level 2 inputs are sometimes adjusted to reflect differential circumstances.	1½
Level 3 inputs are those that are not observable to an external user. An example would be the assumptions regarding future profits when measuring the fair value of an unquoted share. When measuring fair values, use of Level 3 inputs should be kept to a minimum.	1½
	10

	Marks
(b) A reportable segment is an operating segment that satisfies certain materiality criteria.	$\frac{1}{2}$
An operating segment is a component of an entity:	
That engages in business activities from which it may earn revenues and incur expenses .	$\frac{1}{2} + \frac{1}{2}$
Whose operating results are regularly reviewed by the Chief Operating Decision Maker (CODM).	$\frac{1}{2} + \frac{1}{2}$
For which discrete financial information is available.	$\frac{1}{2}$
The CODM is a function , not a title. The function is to make decisions about allocating resources and assessing performance .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The materiality criteria are any one of the following:	$\frac{1}{2}$
Reported revenue is 10% or more of the total revenue of all operating segments.	$\frac{1}{2}$
The absolute amount of its reported profit or loss is 10% or more of the greater of the combined reported profit of all the profit making segments and the combined reported loss of all the segments that reported a loss.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Total assets are 10% or more of the total assets of all operating segments.	$\frac{1}{2}$
Two or more operating segments that exhibit similar economic characteristics can be combined into a single operating segment for reporting purposes.	$\frac{1}{2} + \frac{1}{2}$
Even if an operating segment does not meet any of the quantitative thresholds, it can be considered reportable if management believes that information about that segment would be useful to users of the financial statements.	$\frac{1}{2}$
As a minimum, the total external revenue of reportable segments should be at least 75% of total entity revenue . If this is not achieved by applying the size criteria to individual segments, additional reportable segments need to be added until this threshold is achieved .	$\frac{1}{2} + \frac{1}{2}$
	<u>10</u>
	<u>20</u>